SESSION 4: ENVIRONMENTAL AND SOCIAL REPORTING

Objective

At the end of this session, students should be able to describe the content of environmental and social reporting

Introduction

Sustainability report combines environmental, social and economic reporting in one report. The previous section focused on the developments in sustainability reporting. Environmental reports were the first step in reporting an entity's impact on its environment. This session details the contents of an environment report together with any accounting issues, and also highlights issues in social reporting.

Environmental Reporting

Environmental reporting is the disclosure of information in the published annual report or elsewhere, of the effect that the operations of the business have on the natural environment.

Environmental Reporting in Practice

There are two main vehicles that companies use to publish information about the ways in which they interact with the natural environment:

- The published annual report (which includes the financial statements)
- A separate environment report (either as a paper document or simply posted on the company website).

The IASB encourages the presentation of environmental reports if management believes that the reports will assist users in making economic decisions, but they are not mandatory.

IAS 1 (now IFRS 18) points out that any statement or report presented outside financial statements is outside the scope of IFRSs, so there are no mandatory IFRS requirements on separate environmental reports.

Separate Environmental Reports

Many large public companies publish environmental reports that are completely separate from the annual report and financial statements. The environmental report is often combined in s sustainability report.

Most environmental reports take the form of a combined statement of policy and review of activity. They cover issues such as:

- waste management;
- pollution;
- intrusion into the landscape;
- the effect of an entity's activities upon wildlife;
- use of energy;
- the benefits to the environment of the entity's products and services.

Generally, the reports disclose the entity's targets and/or achievements, with direct comparison between the two in some cases. They may also disclose financial information, such as the amount invested in preserving the environment.

Public and media interest has tended to focus on the environmental report rather than on the disclosures in the published annual report and financial statements. This separation reflects the fact that the two reports are aimed at different audiences.
Shareholders are the main users of the annual report, while the environmental report is designed to be read by the general public. Many companies publish their environmental and social reports on their websites, which encourages access to a wide a audience.

The Content of Environment Report

(a) **Environmental issues pertinent to the entity and industry**

- The entity's policy towards the environment and any improvements made since first adopting the policy.
- Whether the entity has a formal system for managing environmental risks.
- The identity of the director(s) responsible for environmental issues.
- The entity's perception of the risks to the environment from its operations.
- The extent to which the entity would be capable of responding to a major environmental disaster and an estimate of the full economic consequences of such a future major disaster.
- The effects of, and the entity's response to, any government legislation on environmental matters.
- Details of any significant infringement of environmental legislation or regulations.
- Material environmental legal issues in which the entity is involved.
- Details of any significant initiative taken, if possible linked to amounts in financial statements.

- Details of key indicators (if any) used by the entity to measure environmental performance. Actual performance should be compared with targets and with performance in prior periods.

(b) **Financial Information**

- The entity's accounting policies relating to environmental costs, provisions and contingencies.
- The amount charged to the income statement or statement of comprehensive income during the accounting period in respect of expenditure to prevent or rectify damage to the environment caused by the entity's operations. This could be analysed between expenditure that the entity was legally obliged to incur and other expenditure.
- The amount charged to the income statement or statement of comprehensive income during the accounting period is respect of expenditure to protect employees and society in general from the consequences of damage to the environment caused by the entity's operations. Again, this could be analysed between compulsory and voluntary expenditure.
- Details (including amounts) of any provisions or contingent liabilities relating to environmental matters.
- The amount of environmental expenditure capitalised during the year.
- Details of fines, penalties and compensation paid during the accounting period in respect of non-compliance with environmental regulations.

Accounting for Environment Costs

Definitions

Environmental Cost	include environmental measures and environmental losses
Environmental Measures	are the costs of preventing, reducing or repairing damage to the environment and the costs of conserving resources.
Environmental losses	are costs that bring no benefits to the business.

Environmental measures can include:

- capital expenditure;
- closure or decommissioning costs;
- clean-up costs

- development expenditure;
- costs of recycling or conserving energy.

Environmental losses can include:

- fines, penalties and compensation;
- impairment or disposal losses relating to assets that have to be scrapped or abandoned because they damage the environment.

Accounting Treatment

Environmental costs are treated in accordance with the requirements of current accounting standards.

(i) Most expenditure is charged in the income statement or statement of comprehensive income in the period in which it I incurred. Material items may need to be disclosed separately in the notes to the accounts or on the face of the income statement/statement of comprehensive income as required by IAS 1.

(ii) Entities may have to undertake fundamental reorganisations or restructuring or to discontinue particular activities in order to protect the environment. If a sale or termination meets the definition of a discontinued operation, its results must be separately disclosed in accordance with the requirements of IFRS 5. Material restructuring costs may need to be separately disclosed on the face of the income statement/statement of comprehensive income.

(iii) Fines and penalties for non-compliance with regulations are charged to the income statement or statement of comprehensive income in the period in which they are incurred. This applies even if the activities that resulted in the penalties took place in an earlier accounting period, as they cannot be treated retrospectively as prior period adjustments.

(iv) Expenditure on non-current assets is capitalised and depreciated in the usual way as per IAS 16 'Property, Plant and Equipment'.

(v) Non-current assets (including goodwill) may become impaired as a result of environmental legislation or new regulations. IAS 36 **Impairment of Assets** lists events that could trigger an impairment review, one of which is a significant adverse change in the legal environment in which the business operates.

(vi) Research and development expenditure in respect of environmentally friendly products, processes or services is covered by IAS 38 **Intangible Assets**.

Provisions for Environmental Liabilities

IAS 37 **Provisions, Contingent Liabilities and Contingent Assets** states that three conditions must be met before a provision may be recognised:

- the entity has a present **obligation** as a result of a past event;
- It is **probable** that a transfer of economic benefits will be required to settle the obligation;
- A **reliable estimate** can be made of the amount of the obligation.

IAS 37 is covered in detail in earlier modules, but some points are particularly relevant to previsions for environmental costs:

- The fact that the entity's activities have caused environmental contamination does not in itself give rise to an obligation to rectify the damage. However, even if there is no legal obligation, there may be a constructive obligation. An entity almost certainly has a constructive obligation to rectify environmental damage if it has a policy of acting in an environmentally responsible way and this policy is well publicised.

- The obligation must arise from a past event. This means that a provision can only be set up to rectify environmental damage that has already happened. If an entity needs to incur expenditure to reduce pollution in the future, it should not set up a provision. This is because in theory it can avoid the expenditure by its future actions, for example by discontinuing the particular activity that causes the pollution.

Capitalisation of environmental Expenditure

If environmental expenditure provides access to future economic benefits, it meets the IASB's definition of an asset. It would normally be capitalised and depreciated over the useful life of the asset.

An asset may also arise as a result of recognising a provision. In principle, when a provision or change in a provision is recognised, an asset should also be recognised when, and only when, the incurring of the present obligation gives access to future economic benefits. Otherwise, the setting up of the provision should be charged immediately to the income statement or statement of comprehensive income.

Illustration

In January 2022, Adepa Mining Company purchased a licence that will allow it to carry out small scale mining activity in Ahafo area. The purchase cost of this licence is GH¢400 million.

In addition, Adepa has agreed to pay GH¢100 million to restore the landscape once it has finished. This payment will be made at the end of year 4 (that is by 31 December 2025). The pre-tax discount rate that reflects current market rate is 25% per annum.

Required

Show how this should be accounted for in the financial statements for 2022 – 2025

Solution

There is an obligation to pay GH¢100 million to restore the landscape at the end of 4 years and so the present value of the obligation should be capitalized to the cost of non-current asset and subsequently depreciated. The corresponding provision will need to be increased every year to represent the unwinding of the discount and this is charged to the income statement.

The present value of GH¢100 million discounted at 25% over 4 years is:

GH¢100 million x $1/1.25^4$ = GH¢100million x 0.4096 = GH¢40.96million

This amount will be recorded as follows at the start of year 1 (January 2022)

DR Non-current assets

CR Provision for restoration of land

The non-current asset of (GH¢400 million + GH¢40.96 million) GH¢440.96 million is amortised over 4 years and the annual amortization of GH¢110.24 million is charged to income statement.

The provision is unwound at 25% each year and charged to income statement as a finance cost.

Year	Balance at 1/1 GH¢'m	Unwinding @25% GH¢'m	Balance at 31/12 GH¢'m
2022	40.96	10.24	51.20
2023	51.20	12.80	64.00

2024	64.00	16.00	80.00
2025	80.00	20.00	100.00 (payment effected)

Income Statement (extract) for the year ending 31 December

	2022 GH¢'m	2023 GH¢'m	2024 GH¢'m	2025 GH¢'m
Finance cost (Unwound Discount)	10.24	12.80	16.00	20.00
Amortisation of Licence	110.24	110.24	110.24	110.24

Statement of financial position as at 31 December

	2022 GH¢'m	2023 GH¢'m	2024 GH¢'m	2025 GH¢'m
Intangible Asset –License	440.96	440.96	440.96	440.96
Accumulated Amortisation	(110.24)	(220.48)	(330.72)	(440.96)
Carrying Amount	330.72	220.48	110.24	-
Provisions: For Restoration	51.20	64.00	80.00	100.00

Social Reporting

Social reporting refers to the process by which organisations disclose information about the social impacts of their activities on society and stakeholders. It focuses on how businesses contribute to social development, employee welfare, community engagement, and ethical business practices.

Social reporting is an important part of corporate social responsibility (CSR) and broader sustainability reporting**.** It provides stakeholders with information about how an organisation manages its relationships with employees, customers, suppliers, and communities.

Frameworks for social reporting are often guided by standards developed by organisations such as the Global Reporting Initiative and sustainability disclosure standards issued by the International Sustainability Standards Board.

Social reporting is an important component of modern corporate reporting because it highlights the social responsibilities and impacts of organisations. By disclosing information about employee welfare, community engagement, and ethical practices, organisations improve transparency, accountability, and stakeholder trust and plays a critical role in promoting responsible and sustainable business practices.

Objectives of Social Reporting

- *Promoting Accountability:* Social reporting enables organisations to demonstrate accountability for the social consequences of their activities.
- *Enhancing Transparency*: It provides stakeholders with transparent information about how organisations treat employees, customers, and communities.
- *Improving Stakeholder Relationships:* By disclosing social initiatives and responsibilities, organisations strengthen trust and relationships with stakeholders.
- *Supporting Sustainable Development*: Social reporting highlights how organisations contribute to broader social goals such as poverty reduction, education, and community development.

Areas Covered in Social Reporting

Social reporting typically includes information on several key areas.

- *Employee Welfare*: Information about working conditions, employee health and safety, training, diversity, and equal employment opportunities.
- *Community Development*: Disclosure of corporate contributions to community projects such as education, healthcare, and infrastructure.
- *Consumer Protection*: Information on product quality, safety standards, and fair marketing practices.
- *Human Rights*: Reporting on policies and actions taken to protect human rights within the organisation and supply chain.
- *Ethical Business Practices*: Disclosure of anti-corruption policies, ethical conduct, and compliance with laws and regulations.

Importance of Social Reporting

- *Builds Corporate Reputation*: Organisations that actively report their social contributions are often viewed more positively by the public and stakeholders.
- *Enhances Investor Confidence:* Investors increasingly consider social factors when making investment decisions.
- *Supports Ethical Business Practices*: Social reporting encourages organisations to adopt responsible and ethical business behaviour.
- *Strengthens Corporate Governance*: It promotes responsible management practices and accountability to stakeholders.

Benefits of Social Reporting

- Improves corporate transparency

- Enhances stakeholder trust
- Encourages responsible business practices
- Supports long-term sustainability
- Strengthens relationships with communities and employees

Limitations of Social Reporting

Despite its benefits, social reporting also faces several challenges.

- *Lack of Standardisation*: Different organisations may use different reporting frameworks, making comparisons difficult.
- *Difficulty in Measuring Social Impact*: Some social outcomes, such as community development or employee satisfaction, are difficult to quantify.
- *Risk of Selective Disclosure*: Companies may highlight positive social initiatives while ignoring negative impacts.
- *High Reporting Costs*: Preparing detailed social reports may require significant resources.